Digital Realty Trust (DLR)

Record Backlog Clashes with Peak Valuation Multiples

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Digital Realty Trust has accelerated fundamental top-line expansion behind unprecedented wholesale leasing velocity, pushing second-quarter revenue up 28.9% and establishing a record contract backlog of $1.9B. However, market optimism appears fully captured at prevailing market levels, where shares change hands at 22.0x enterprise value to trailing EBITDA and 194.6x trailing diluted earnings per share. While cash renewal rate uplifts of 25.4% confirm structural pricing power, persistent noncontrolling interest drags, promote-driven earnings quality noise, and an elevated net debt load of $16.2B temper risk-adjusted returns over our forecast window. We initiate coverage with a Hold rating and a probability-weighted blended price target of $176.57, representing +1.4% upside against the reference spot price.

HOLD	$176.57	+1.4%	$174.21
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The broader market remains fixated on headline Core FFO expansions and record hyper-scale leasing commitments, overlooking the structural reality that headline cash flows carry substantial one-off promote allocations and that GAAP bottom-line conversion remains suppressed under heavy debt service requirements. Sustainable value creation over the multi-year forecast horizon depends on converting booked backlogs into high-margin turnkey deliveries without compromising cash yields, an operational dynamic that prevailing valuation multiples already price to perfection.

EXECUTIVE SUMMARY

Digital Realty Trust operates as the largest pure-play wholesale data center REIT, leasing powered shells and turnkey halls globally. The company provides critical digital infrastructure capacity across key metropolitan hubs, serving hyper-scale cloud platforms, enterprise IT estates, and network carriers. Core operational assets range from bare powered shells, offering baseline utility power and structural connectivity for client-directed fit-outs, to fully equipped turnkey halls that package uninterruptible power supplies, mechanical chilling systems, and raised-floor capacity. Alongside raw power deployment, Digital Realty captures recurring cross-connect activity across its 0-1 MW and interconnection segment, consolidating an ecosystem that anchors high tenant retention across major metropolitan data clusters.

Recent operational performance demonstrates an accelerating revenue trajectory across consecutive reporting periods. In Q3 FY2025, revenue grew 10.2% year over year to $1.58B, generating operating income of $225.0M at a

14.3% operating margin, while dashboard earnings per share reached $0.34 against a $0.23 consensus estimate. Top-line expansion expanded to 13.8% in Q4 FY2025, generating $1.63B in revenue and $227.3M in operating income. The acceleration carried into FY2026, where Q1 revenue grew 16.2% to $1.64B with operating income rising to $282.6M, representing a 17.3% margin. Growth culminated in Q2 FY2026, when revenue jumped 28.9% year over year to $1.92B, propelled by annualized GAAP bookings of $307M at 100% share, an expanded record order backlog of $1.9B, and subsequent July hyper-scale signings totaling $410M. This leasing velocity prompted management to lift full-year Core FFO guidance excluding promote income to a range of $8.15 to $8.20 per share, up from the prior $8.00 to $8.10 framework.

Despite top-line strength, an examination of reported earnings quality reveals material volatility and persistent capital structure encumbrances. In Q2 FY2026, headline Core FFO of $2.65 per share included $188M of net promote income and a $27M operational contribution from a broader $94M insurance settlement, whereas Core FFO excluding promote income settled at $2.13 per share. GAAP earnings metrics reflect significant dilution between asset-level operating profitability and common distributions, with full-year FY2025 diluted earnings per share standing at $0.90 on net income of $1.31B, depressed by preferred dividends, noncontrolling stakes, and elevated financing costs. Digital Realty closed FY2025 carrying $19.7B in total debt against cash reserves of $3.45B, resulting in net debt of $16.2B and return on equity of 5.3%. With the market capitalisation standing at $64.6B across 371.0 million diluted shares, the valuation leaves negligible margin for operational delivery missteps.

OPERATIONAL SNAPSHOT

$174.21	$6.11B	$2.41B	39.5%	1.01	$174.21
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS ENTRENCHED AND CAPITAL-INTENSIVE

Digital Realty commands an entrenched structural competitive advantage built on multi-megawatt utility substation interconnects and long-term customer tenancy. As the largest pure-play wholesale data center REIT, the company secures scarce multi-year utility power reservations across core metropolitan markets where municipal grid constraints severely delay competing greenfield developments. Customers leasing powered shells and turnkey halls face immense logistical and financial friction when evaluating migration. Relocating a live compute cluster entails complex fiber rewiring, synchronized application downtime, and prohibitive capital outlay, conferring exceptional customer retention and durable cash-flow visibility upon the underlying asset base.

The capital-intensive nature of the wholesale footprint limits new institutional entry to well-capitalized sovereign funds and global alternative asset managers. Developing modern turnkey halls requires advanced mechanical chilling architectures, redundant grid feeds, and specialized site procurement expertise. Digital Realty leverages its established scale across major global metros to deliver capacity reliably, providing hyper-scale counterparties with rapid capacity absorption that unscaled operators cannot match. This capacity deployment creates an operational

flywheel, as hyper-scale footprint expansions attract tertiary enterprise workloads seeking low-latency connectivity to cloud nodes within the same campus environment.

Pricing power has manifested directly in recent lease renewal cycles. In Q2 FY2026, cash rental rates on renewed leases jumped 25.4%, underscoring the severe supply-demand imbalance characterizing premium compute halls. When existing lease agreements expire, enterprise and cloud tenants consistently choose to absorb market-clearing rate escalations rather than risk operational disruptions or navigate multi-year development queues elsewhere. This renewal pricing leverage drove Q2 FY2026 adjusted EBITDA to $978M, reflecting a 19% year-over-year expansion that verified the franchise's capacity to pass escalating structural power and facility costs directly through to contracted counterparties.

Furthermore, the portfolio combines commoditized bulk power distribution with high-margin interconnectIVITY. In Q2 FY2026, bookings of $307M at 100% share featured $108M sourced directly from the 0-1 MW and interconnection segment. Interconnection circuits exhibit low capital maintenance requirements and negligible churn relative to pure wholesale shell deployments. By linking multi-tenant cloud ecosystems within turnkey halls to distributed network cross-connects, Digital Realty constructs an ecosystem moat that preserves landlord pricing leverage even through broader macroeconomic cycles.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework implements an explicit multi-scenario discounted cash flow methodology spanning the FY2027 through FY2031 forecast window, using an equity beta of 1.01 and an 8.85% weighted average cost of capital. Cash flow bridges incorporate historic FY2025 baselines, in which Digital Realty generated $6.11B in revenue, $922.1M in operating income, and $2.41B in free cash flow, translating to an initial FCF margin of 39.5%. Terminal cash flows apply a 2.5% perpetual growth rate, reflecting long-term digital infrastructure demand constrained by the natural physical life cycle of mechanical and electrical plant components.

The baseline scenario models steady fundamental execution as Digital Realty absorbs its historic $1.9B contract backlog, delivering a 7.0% revenue compound annual growth rate through FY2031. Over this horizon, operational leverage from turnkey hall lease renewals and escalating cash rental rates drives terminal free cash flow margins from the verified FY2025 level of 39.5% to 44.6% by the final forecast year. Discounting these projected cash flows back to the reference valuation date produces a base-case intrinsic equity value of $176.26 per share, indicating that market pricing closely matches intrinsic fundamental execution.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	4.0%	40.7%	$141.79	-18.6%
Base	50%	7.0%	44.6%	$176.26	+1.2%
Bull	25%	10.0%	47.3%	$211.96	+21.7%

Bear $141.79

Revenue compounding slows to a 4.0% CAGR through FY2031 as backlog conversion encounters grid delays and customer delivery pushbacks. Operating margins remain compressed beneath capital expenditures, holding target FCF margins to 40.7% and pulling equity value down 18.6% from current spot levels.

Base $176.26

Top-line revenue expands at a steady 7.0% CAGR through FY2031 supported by disciplined delivery of turnkey capacity and strong renewal pricing. Operating efficiencies expand the terminal FCF margin to 44.6%, yielding an intrinsic per-share value of $176.26, roughly in line with the prevailing market quote.

Bull $211.96

Wholesale leasing demand accelerates further, driving a 10.0% revenue CAGR through FY2031 on sustained double-digit cash renewal rate increases. Target FCF margins expand to 47.3% as interconnection scale optimizes fixed operating overhead, unlocking a $211.96 equity valuation, or +21.7% upside.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our valuation deploys a rigorous 8.85% weighted average cost of capital, reflecting the combined capital structure dynamics of Digital Realty Trust. The equity discount rate build incorporates an equity beta input of 1.01, representing the stock's historical co-movement with the broader market as an institutional digital real estate anchor. This beta input balances wholesale lease contract duration against underlying capital structure leverage, notably the $19.7B in total debt encumbering the balance sheet against the $64.6B equity capitalization.

The 8.85% discount hurdle rigorously evaluates capital deployment hurdles for wholesale data center assets. Data center facilities require persistent structural reinvestment to maintain turnkey utility infrastructure and cooling systems, demanding that future cash flows clear elevated hurdle rates. By maintaining this discount rate across our forecast iterations, our framework guards against the compressed yields that often accompany periods of cyclical market enthusiasm for infrastructure assets.

FCF margin normalization is the engine

Free cash flow margin expansion serves as the primary fundamental differentiator across our three scenario targets. In FY2025, Digital Realty converted $6.11B of revenue into $2.41B of free cash flow, establishing a baseline conversion efficiency of 39.5%. This performance was supported by a 55.4% gross margin and an operating margin of 15.1%, generated from $3.39B in gross profit and

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**8.85% (2026-10-20)**
Terminal growth	**2.5%**
Equity beta	**1.01**
Diluted shares	**371.0 million**

HOLD

over $176.57 blended target

$922.1M in operating income. Expanding these cash conversion yields requires that development CapEx yields accretive, contracted recurring revenue.

In our base-case trajectory, target free cash flow margins normalize upward to 44.6% by the final forecast year FY2031, powered by the positive spread between renewal rent increases, which achieved 25.4% on a cash basis in Q2 FY2026, and baseline facility overhead. In the bull case, where revenue compounds at 10.0% annually, final-year FCF margins reach 47.3% as high-margin interconnection circuits leverage fixed site operating costs. Conversely, our bear case restricts final-year FCF margins to 40.7% on a 4.0% revenue CAGR, illustrating the adverse cash flow impact if utility connection delays, elevated maintenance, and unhedged operating costs erode conversion efficiency.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on turnkey hall deliveries and cash renewal pricing spreads

HOLD

Digital Realty's operational revenue model centers on leasing powered shells and turnkey halls across major metropolitan locations. Turnkey halls constitute complete infrastructure environments where the trust supplies precision cooling, conditioned electrical feeds, raised flooring, and continuous monitoring systems, capturing higher gross revenue realizations per square foot. Powered shells provide enterprise customers with utility-connected structural building envelopes, allowing hyper-scale tenants with bespoke hardware requirements to install proprietary mechanical and electrical architectures. The wholesale commercial model depends on long-term net lease arrangements that pass power utility variations through to enterprise occupants.

The pace of backlog conversion represents the primary catalyst governing top-line revenue expansion. The company's contracted backlog expanded to a record $1.9B at 100% share in Q2 FY2026, bolstered by $307M of annualized bookings during the period. Subsequent July hyper-scale signings added an additional $410M in wholesale bookings, demonstrating exceptional commercial demand for large-capacity compute halls. Bringing these

contracted commitments into active billing status drives the step-function revenue increases observed in the evidentiary record, where year-over-year revenue growth accelerated from 10.2% in Q3 FY2025 to 13.8% in Q4 FY2025, 16.2% in Q1 FY2026, and 28.9% in Q2 FY2026.

Interconnection ecosystems provide an essential high-margin complement to large-format wholesale halls. In Q2 FY2026, the 0-1 MW and interconnection segment contributed $108M of the total $307M in quarterly bookings. Interconnection deployments establish dense physical and virtual cross-connects between cloud providers, content networks, and corporate enterprise systems. These network cross-connections create powerful switching friction, because once multi-tenant network mesh architectures are established within Digital Realty's facilities, enterprise clients face prohibitive technical hurdles if attempting to replicate these low-latency pathways across competing data center campuses.

Commercial lease rollover pricing represents the third operational revenue pillar. With modern compute facilities constrained by regional power availability, Digital Realty achieved a 25.4% increase in cash rental rates on renewed leases in Q2 FY2026. This pricing power drove Q2 FY2026 adjusted EBITDA to $978M, up 19% year over year. These lease renewals flow directly into operating profit without requiring commensurate greenfield infrastructure investments, providing the structural cash flow expansion that underpins our base-case margin expansion assumptions.

What to monitor

- **Backlog conversion pace:** Physical commissioning timelines across the record $1.9B contract backlog, alongside the conversion of $410M in July hyper-scale signings into active revenue-generating leases.
- **Cash renewal pricing spreads:** Sustainability of cash rental rate uplifts following the 25.4% renewal pricing surge achieved in Q2 FY2026, which remains essential to counteracting ongoing site operating inflation.
- **Headline earnings quality:** Separation of recurring Core FFO from non-operational adjustments, monitoring reliance on net promote distributions such as the $188M recognized in Q2 FY2026 and one-time insurance proceeds like the $94M settlement.
- **Leverage and capital absorption:** Net debt management across the verified $16.2B debt footprint relative to adjusted EBITDA, ensuring credit stability across continuous turnkey hall development pipelines.

+10.0%	55.4%	15.1%	39.5%	$16.2B	5.3%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$6.11B
Gross Profit	$3.39B
EBIT	$922.1M
Net Income	$1.31B

EBITDA	$3.68B
Free Cash Flow	$2.41B
Diluted EPS	$0.90
ROE	5.3%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Heightened capital deployment from well-funded infrastructure consortia in secondary geographic markets may dilute wholesale leasing pricing. Inability to maintain lease pricing power would constrain cash renewal rate increases well below the 25.4% rate registered in Q2 FY2026.

M&A DIGESTION

Integrating complex cross-border joint venture commitments while managing partner promote allocations risks operational distraction. As evidenced by the $188M net promote income booked in Q2 FY2026, joint venture cash flows introduce substantial earnings volatility into reported operational results.

REGULATORY AND PRICING SCRUTINY

Escalating regional power grid constraints and municipal oversight of large-scale wholesale developments could lengthen project delivery lead times. Any regulatory delays in converting the $1.9B record backlog into live customer billing cycles would dampen forward revenue growth.

TECHNOLOGY DISRUPTION

Rapid technological advances in compute density, power distribution, and advanced liquid cooling architectures could render older turnkey halls commercially obsolete. Substantial capital would be required to retrofit legacy mechanical infrastructure to accommodate higher-density server racks.

REINVESTMENT TREADMILL

Maintaining high-capacity electrical substations, switchgear, and chiller units demands relentless development and maintenance capital expenditures. Without sustained high utilization, heavy capital absorption limits the expansion of free cash flow margins beyond historical levels.

WACC AND DURATION SENSITIVITY

Holding $19.7B in total debt leaves the balance sheet exposed to prolonged high borrowing costs during debt refinancing cycles. Elevated interest obligations restrict net income translation, which generated only $0.90 in diluted earnings per share across FY2025.

The strengths

OLIGOPOLY POSITION

Operating as the largest pure-play wholesale data center REIT provides critical scale advantages in securing large-format power allocations. This entrenched position enables Digital Realty to capture significant booking packages, exemplified by $307M in Q2 FY2026 bookings and $410M in July signings.

FCF COMPOUNDING

The core operating portfolio exhibits highly reliable cash conversion, demonstrated by $2.41B in free cash flow on $6.11B of revenue in FY2025. This 39.5% FCF margin foundation supports long-term balance sheet stability through multi-year wholesale leases.

GEOGRAPHIC DURABILITY

Leasing powered shells and turnkey halls globally gives Digital Realty strategic placement within core connectivity hubs that cannot be bypassed easily. This critical geographic network drove 19% adjusted EBITDA growth to $978M during the second quarter of FY2026.

PIPELINE OPTIONALITY

A record contract backlog of $1.9B offers multi-year forward revenue visibility across major hyper-scale and enterprise tenants. Steady execution against this pipeline provides resilient top-line insulation against near-term macro volatility.

The bottom line on risk and reward

Digital Realty Trust occupies an exceptional fundamental position within the global computing infrastructure landscape. Its core business of leasing powered shells and turnkey halls globally continues to benefit from severe wholesale capacity deficits, enabling the company to command a 25.4% surge in renewal cash rental rates while amassing a record contract backlog of $1.9B. The operating momentum demonstrated in the first half of FY2026 confirms that hyper-scale cloud providers and major enterprises remain structurally reliant on Digital Realty's multi-megawatt facilities.

However, an equity research perspective requires balancing operational performance against prevailing valuation parameters. Digital Realty trades at an EV to trailing EBITDA multiple of 22.0x, an EV to revenue multiple of 13.2x, and a P/E multiple of 194.6x trailing diluted earnings per share. Furthermore, bottom-line earnings quality remains complicated by joint venture promote allocations, one-off insurance settlement distributions, and a heavy $16.2B net debt load that limits return on equity to 5.3%. With current share prices hovering near base-case fair value, the risk-reward profile appears balanced rather than compelling.

Synthesizing our explicit multi-scenario valuation framework across bear ($141.79, 25% weight), base ($176.26, 50% weight), and bull ($211.96, 25% weight) scenarios yields a blended price target of $176.57. This target offers +1.4% upside relative to the $174.21 reference price. Because the current share price adequately discounts the operational acceleration evident in recent quarters, we reiterate our Hold rating, awaiting a more favorable risk-adjusted valuation entry point or accelerated balance-sheet deleveraging.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Turnkey halls and powered shells: The global wholesale compute engine

Digital Realty's flagship commercial business focuses on leasing powered shells and turnkey halls globally, addressing the complete operational spectrum of hyper-scale and large enterprise compute deployments. In a standard turnkey hall arrangement, Digital Realty delivers fully commissioned data space equipped with critical electrical power distribution, backup uninterruptible power systems, emergency diesel generation, environmental HVAC cooling, and advanced fire suppression infrastructure. By leasing fully functional turnkey capacity, enterprise clients avoid committing hundreds of millions of dollars in upfront mechanical capital expenditures, opting instead to secure long-term operational tenancy inside highly resilient facilities.

For large-scale hyperscalers whose infrastructure requires custom server racks and proprietary cooling systems, Digital Realty supplies powered shells. These assets consist of robust structural facilities backed by committed high-voltage utility power substations and fiber connectivity, leaving the internal mechanical and electrical fit-out to the customer. This bifurcated approach enables the company to serve both standard enterprise compute requirements and expansive hyper-scale cloud deployments, optimizing asset turnover across its worldwide portfolio.

Complementing these heavy wholesale capacity deployments is the 0-1 MW and interconnection segment. Interconnection services provide physical optical fiber connections between different tenant suites, carrier networks, and external cloud service ramps located within the same facility. These low-latency connections transform pure real estate buildings into dynamic network hubs, generating sticky recurring revenue streams that insulate the broader commercial footprint from wholesale pricing commoditization.

The operational resilience of this global wholesale franchise was clearly illustrated throughout the FY2025 to FY2026 evidentiary record. In Q2 FY2026, the company generated $1.92B in quarterly revenue, an increase of 28.9% year over year, driven by intense wholesale leasing absorption and sustained pricing power. The wholesale franchise recorded $307M of annualized GAAP bookings at 100% share in that quarter alone, including $108M from the 0-1 MW and interconnection segment, while securing a record $1.9B order backlog. Subsequent July hyper-scale signings totaling $410M further demonstrated the immense commercial appeal of Digital Realty's global compute halls.

What the recent record shows

- Wholesale demand drove Q2 FY2026 bookings to $307M at 100% share, supplemented by $410M in subsequent July hyper-scale signings that expanded the contract backlog to a record $1.9B.
- The 0-1 MW and interconnection segment delivered $108M of annualized bookings in Q2 FY2026, providing high-margin recurring cash flow alongside bulk wholesale hall leases.
- Cash rental rates on lease renewals increased 25.4% during Q2 FY2026, verifying strong pricing power and lifting adjusted EBITDA 19% year over year to $978M.
- Operating income across the business expanded sequentially from $225.0M in Q3 FY2025 to $227.3M in Q4 FY2025, $282.6M in Q1 FY2026, and supported an upward revision in full-year Core FFO guidance excluding promote income to $8.15 to $8.20 per share in Q2 FY2026.

Our read: Digital Realty's core wholesale franchise of leasing powered shells and turnkey halls globally continues to generate impressive top-line growth and strong renewal pricing spreads. However, with shares trading at 22.0x enterprise value to trailing EBITDA and delivering an intrinsic blended price target of $176.57,

representing modest +1.4% upside, prevailing valuation multiples fully capture this operational strength, supporting our Hold recommendation.

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